

Chapter 1

Uses of Accounting Information and the Financial Statements



Financial Accounting, 11e

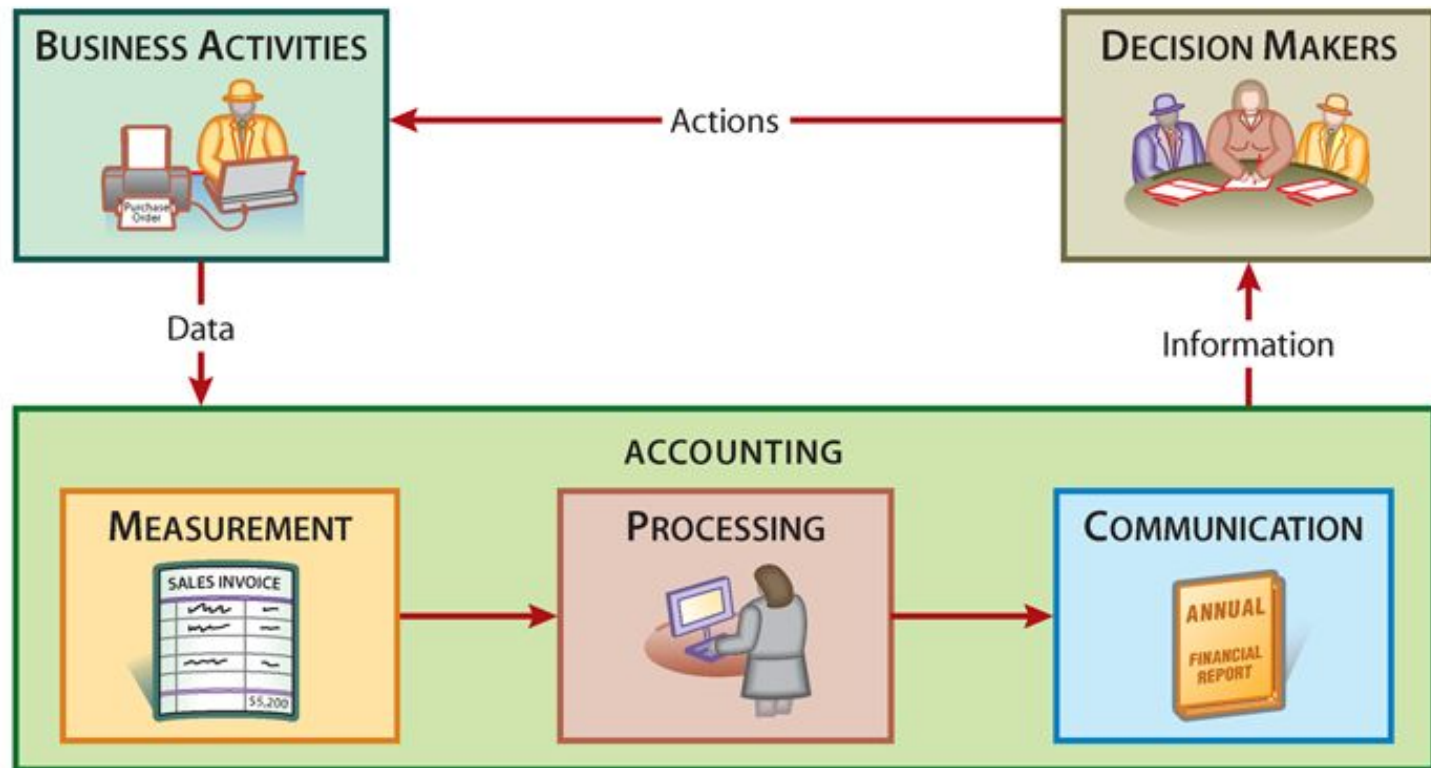
Learning Objectives

- LO 1** Define *accounting* and describe its role in making informed decisions, identify business goals and activities, and explain the importance of ethics in accounting.
- LO 2** Identify the users of accounting information.
- LO 3** Explain the importance of business transactions, money measure, and separate entity.
- LO 4** Describe the characteristics of a corporation.
- LO 5** Identify the four basic financial statements and define their elements.
- LO 6** Explain how generally accepted accounting principles (GAAP) relate to financial statements and the independent CPA's report, and identify the organizations that influence GAAP.

Accounting as an Information System

- **Accounting** is an information system that measures, processes, and communicates financial information about an economic entity.
- As shown in the Exhibit in the next slide, accounting is a link between business activities and decision makers.

Accounting as an Information System



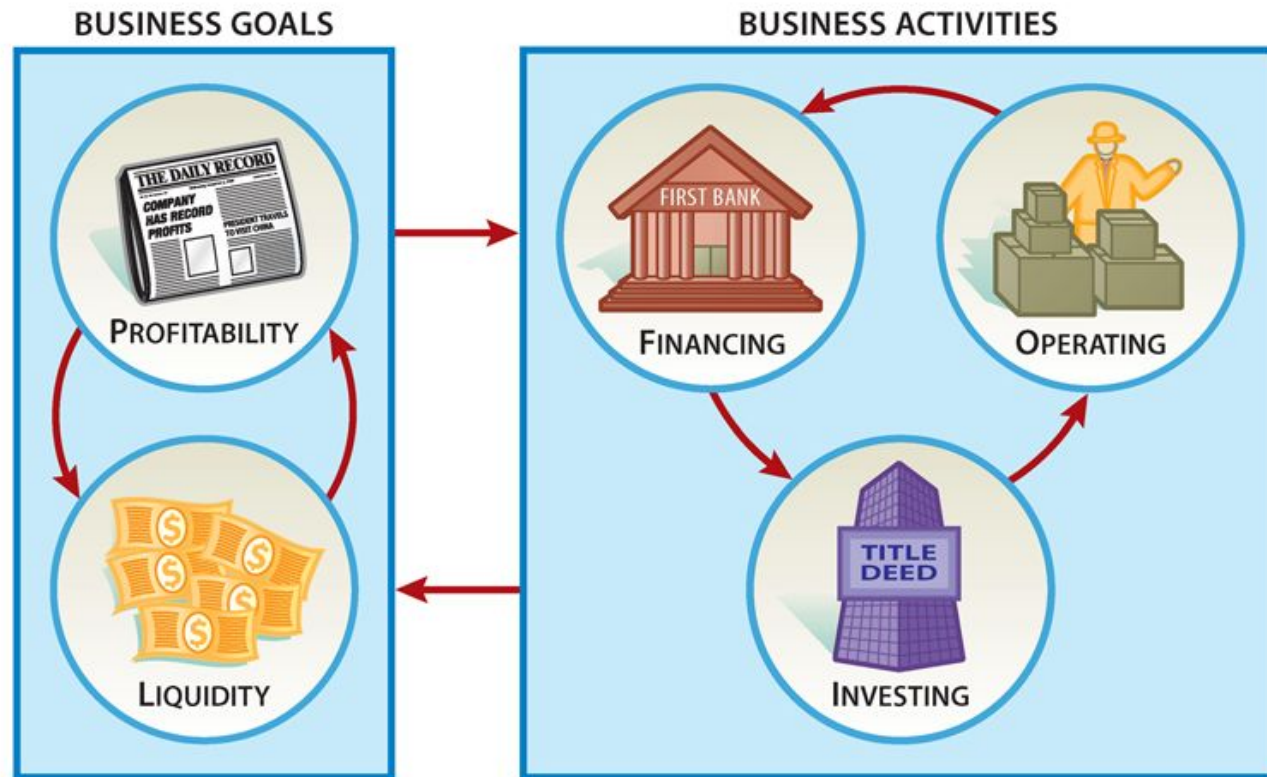
Business Goals

- A **business** is an economic unit that aims to sell goods and services to customers at prices that will provide an adequate return to its owners.
- The two major goals of all businesses are:
 - **Profitability**—earning a sufficient return to maintain owner interest
 - **Liquidity**—having enough cash to pay debts as they come due

Business Activities

- All companies pursue their business goals by engaging in the following activities:
 - **Operating activities**—selling goods and services to customers; employing managers and workers; buying and producing goods and services; and paying taxes
 - **Investing activities**—spending the capital a company receives in productive ways that help it achieve its objectives
 - **Financing activities**—obtaining funds to begin operations and to continue operating

Business Goals and Activities



Financial Performance Analysis

- **Financial analysis** is the use of financial statements to determine that a business is well managed and is achieving its goals.
- **Performance measures** must be well aligned with the two major goals of the firm: profitability and liquidity.
- **Financial ratios** show how the elements of financial statements relate to each other.

Management Accounting

- **Management accounting**—accounting information for internal decision makers
- This is an operating report providing the details such as:
 - how much was sold
 - what costs were incurred
 - a budget for sales and costs for the next year

Financial Accounting

- **Financial accounting**—accounting information for external decision makers; reports are called **financial statements**.
- It is important to distinguish accounting from the ways in which accounting information is processed by bookkeeping and management information systems.
 - **Bookkeeping** is the mechanical and repetitive recordkeeping aspect of accounting.
 - **Management information systems** (MIS) consists of the interconnected subsystems that provide the information needed to run a business.

Ethical Financial Reporting

- **Ethics** is a code of conduct that addresses whether actions are right or wrong.
- Ethics is especially important in preparing financial reports because users of these reports must depend on the good faith of the people involved in their preparation.
 - **Fraudulent financial reporting** can result from the distortion of records, falsified transactions, or the misapplication of various accounting principles.

Sarbanes-Oxley Act

- The **Sarbanes-Oxley Act** was passed in 2002 in response to **Enron Corporation** and **WorldCom** scandals and regulates financial reporting and the accounting profession.



Stop & Apply

Match each term with one of the four definitions that follow:

- | | |
|---|---------------------------------|
| _____ 1. Management Accounting | a. An unethical practice |
| _____ 2. Liquidity | b. A business goal |
| _____ 3. Financial Accounting | c. Engaged in by all businesses |
| _____ 4. Investing Activities | d. A major branch of Accounting |
| _____ 5. Operating Activities | |
| _____ 6. Financing Activities | |
| _____ 7. Profitability | |
| _____ 8. Fraudulent financial reporting | |

SOLUTION

1. d; 2. b; 3. d; 4. c; 5. c; 6. c; 7. b; 8. a

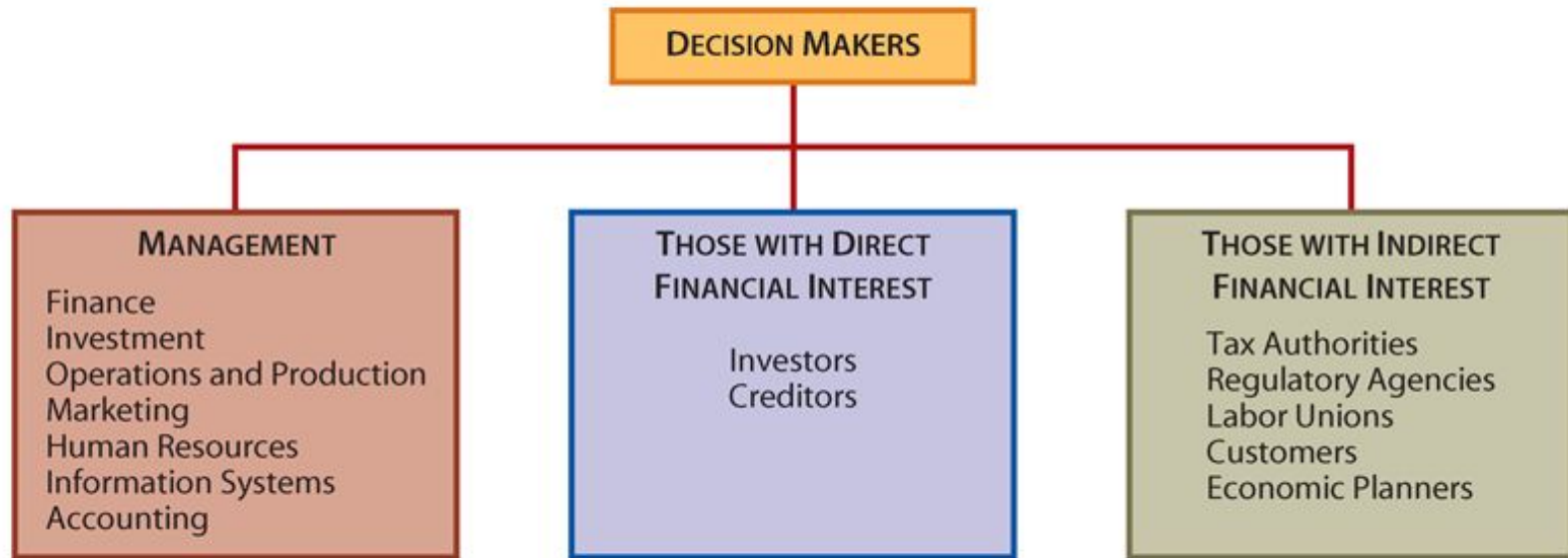
Decision Makers: The Users of Accounting Information

- **Management** refers to the people who are responsible for ensuring that a company meet its goals of profitability and liquidity
- Users with a Direct financial interest
 - **Investors:** have invested captial in a company and thus acquired part ownership in it
 - **Creditors:** those who lend money or deliver goods and services before being paid
- Users with an Indirect financial interest
 - **Tax Authorities:** Companies and individuals pay many kinds of taxes.

The Users of Accounting Information

- **Regulatory Agencies** include **Securities and Exchange Commission (SEC)** to which all publically traded corporations must report periodically.
- Other groups include the following:
 - Labor Unions
 - Advisors of Investors and Creditors
 - Consumer Groups, Customers, and the General Public
 - Economic Planners
- **Governmental and Not-for-Profit Organizations** include functions raising funds and deploying scarce resources.

The Users of Accounting Information





Stop & Apply

Match each term with one of the three types of users of accounting information that follow:

- | | |
|---|-------------------------|
| _____ 1. Tax authorities | a. Internal user |
| _____ 2. Investors | b. Direct external user |
| _____ 3. Management | c. Indirect user |
| _____ 4. Creditors | |
| _____ 5. Regulatory agencies | |
| _____ 6. Labor unions and consumer groups | |

SOLUTION

1. c; 2. b; 3. a; 4. b; 5. c; 6. c

Accounting Measurement

- Four questions must be answered to make an accounting measurement.
 - What is measured?
 - When should the measurement be made?
 - What value should be placed on what is measured?
 - How should what is measured be classified?

Business Transactions

- A **business transaction** is an economic event that affects a business's financial position.
 - A transaction can be an exchange of value (a purchase, sale, payment, collection, or loan) between two or more parties.
 - A transaction that does not involve an exchange is a “nonexchange transaction.” For example, losses from fire, flood, explosion, and theft; physical wear and tear on machinery and equipment; and the day-by-day accumulation of interest.

Money Measure

- The **money measure** concept states that a business transaction should be recorded in terms of money.
 - Transactions between countries must involve the translation of amounts of money using the appropriate **exchange rate**.

Examples of Foreign Exchange Rates

Country	Price in \$ U.S.	Country	Price in \$ U.S.
Australia (dollar)	0.93	Europe (euro)	1.43
Brazil (real)	0.57	Hong Kong (dollar)	0.13
Britain (pound)	1.63	Japan (yen)	0.011
Canada (dollar)	0.97	Mexico (peso)	0.08
China (yuan)	0.147	Russia (ruble)	0.03

Source: The Wall Street Journal, January 18, 2010.

Separate Entity

- In accounting, a business is a **separate entity**, distinct not only from its creditors and customers but also from its owners.



Stop & Apply

Match each description with one of the terms that follow:

- | | |
|--|-------------------------|
| _____ 1. An exchange of value between two or more parties | a. Business transaction |
| _____ 2. Requires a separate set of records for a business | b. Money measure |
| _____ 3. An amount associated with a business transaction | c. Separate entity |

SOLUTION

1. a; 2. c; 3. b

Forms of Business

(slide 1 of 2)

● Forms of Business

○ **Sole proprietorship**—one owner

- The owner takes all of the profits or losses of the business
- The owner has unlimited liability

○ **Partnership**—two or more owners

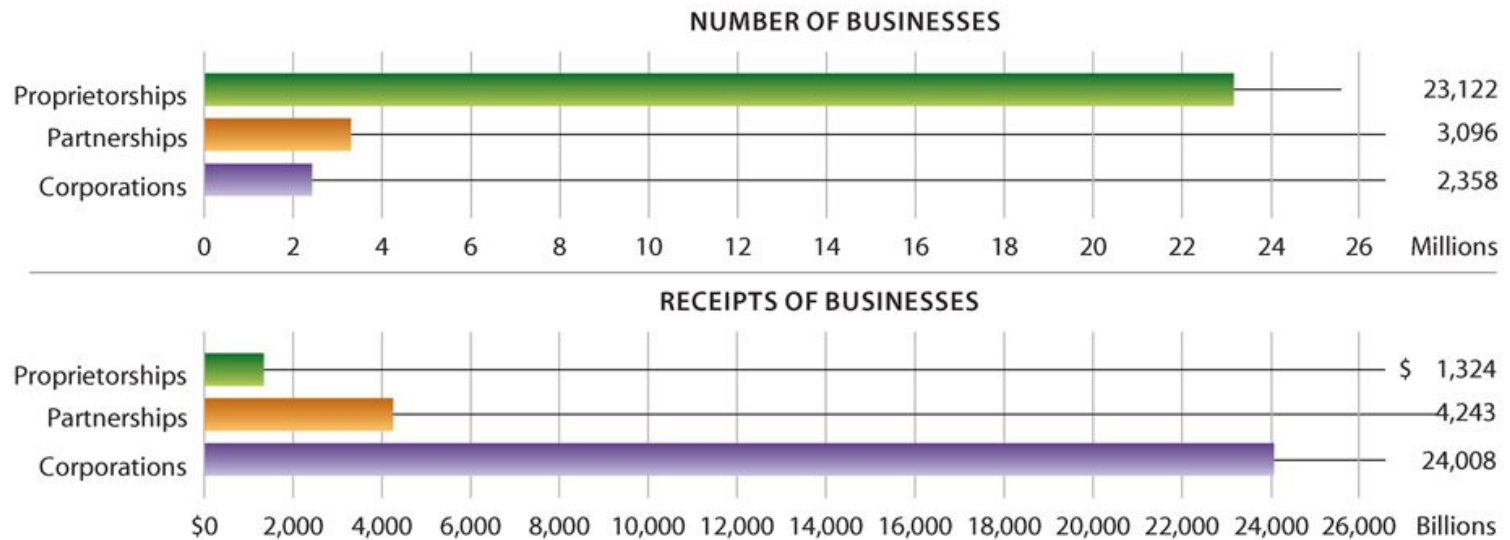
- In a partnership two or more owners share profits or losses based on a predetermined arrangement
- Owners have unlimited liability which can be avoided by forming a limited liability partnership

Forms of Business

(slide 1 of 2)

- **Corporation**—a business unit chartered by the state
 - Many owners but managed by a board of directors
 - Legally separate from its owners (the *stockholders*)
 - Stockholders enjoy limited liability

Number and Receipts of U.S. Proprietorships, Partnerships, and Corporations



Source: U.S. Treasury Department, Internal Revenue Service, *Statistics of Income Bulletin*, Winter 2009.

The Corporate Form of Business

(slide 1 of 5)

● Formation and Organization of a Corporation

- A corporation is a business unit chartered by the state (when **articles of incorporation** are filed) and considered a separate legal entity from its owners.
- The liability of corporate stockholders is limited to their investment.

The Corporate Form of Business

(slide 2 of 5)

● Stockholders

- A **share of stock** is a unit of ownership in a corporation.
 - **Common stock** is the most universal form of stock.

● Board of Directors

- The board of directors sets corporate policy and declares dividends.

The Corporate Form of Business

(slide 3 of 5)

- The authority to manage a corporation is given by the owners and board of directors to the corporate management. **Corporate governance** is the oversight of a corporation's management and ethics by its board of directors.
- A provision of the Sarbanes-Oxley Act requires boards of directors to establish an **audit committee** to ensure that the board is objective in evaluating management performance.

The Corporate Form of Business

(slide 4 of 5)

● Management

- Appointed by the board of directors to carry out corporate policies and run day-to-day operations
- Also have the duty of reporting the financial results

The Corporate Form of Business

(slide 5 of 5)





Stop & Apply

Match each of the descriptions with the terms that follow:

- | | |
|--|------------------------|
| _____ 1. Issues stock | a. Sole proprietorship |
| _____ 2. Owned by only one person | b. Partnership |
| _____ 3. Multiple co-owners | c. Corporation |
| _____ 4. Management appointed by
board of directors | |
| _____ 5. Most numerous but usually
small in size | |
| _____ 6. Biggest segment of the economy | |

SOLUTION

1. c; 2. a; 3. b; 4. c; 5. a; 6. c.

The Financial Statements and their Elements

- **Income statement** (also referred to as the *statement of operations*) the most important financial report because it shows whether a business achieved its profitability goal through its operating activities
 - **Revenues** are the increases in stockholders' equity that result from operating a business.
 - **Expenses** are the decreases in stockholders' equity that result from operating a business.
 - **Net Income** When revenues exceed expenses, the difference is called net income. When expenses exceed revenues, the difference is called **net loss**.

Income Statement for Inglot Consultancy, Inc.

Inglot Consultancy, Inc.		
Income Statement		
For the Month Ended December 31, 2011		
Revenues		
Consulting fees		\$10,000
Expenses		
Equipment rental expense	\$2,800	
Wages expense	1,600	
Utilities expense	<u>1,200</u>	
Total expenses		<u>5,600</u>
Income before income taxes		\$ 4,400
Income taxes expense		<u>1,200</u>
Net income		<u>\$ 3,200</u>

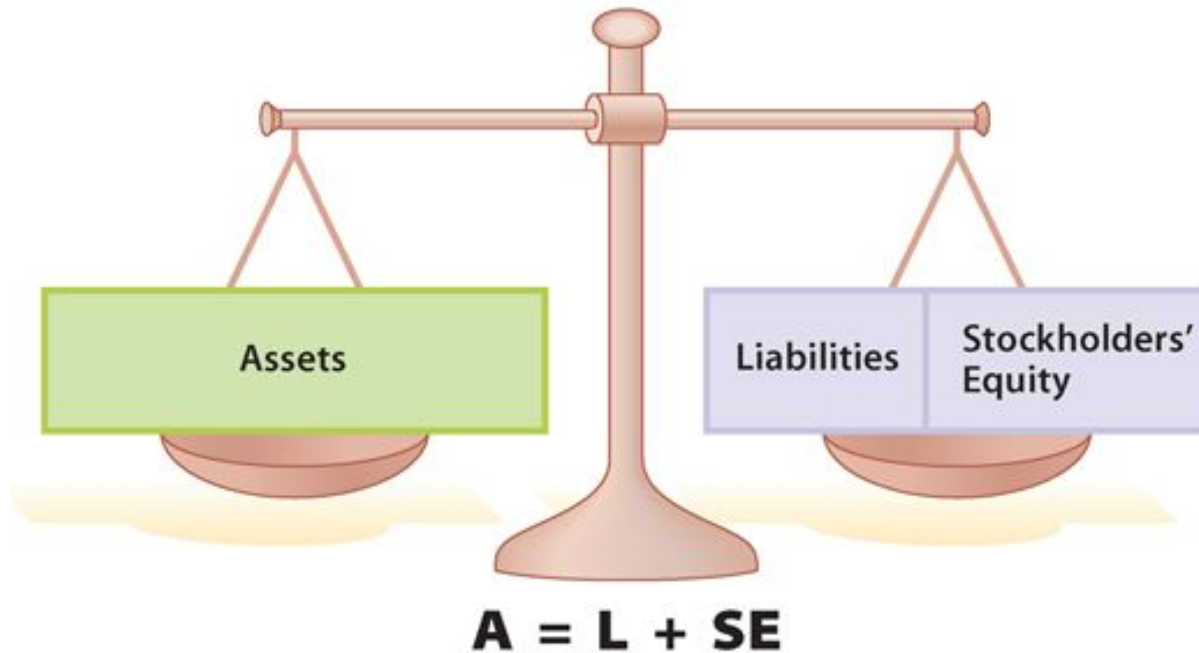
Statement of Retained Earnings

- **Retained earnings** represent the accumulated earnings generated by a business's income-producing activities less amounts that have been paid out to the stockholders.
- The statement of retained earnings shows the changes in retained earnings over an accounting period.
- **Dividends** are distributions of resources, generally in the form of cash, to stockholders, and only the board of directors has the authority to declare them.

Statement of Retained Earnings for Inglot Consultancy, Inc.

Inglot Consultancy, Inc.	
Statement of Retained Earnings	
For the Month Ended December 31, 2011	
Retained earnings, December 1, 2011	\$ 0
Net income for the month	<u>3,200</u>
Subtotal	\$3,200
Less dividends	<u>2,400</u>
Retained earnings, December 31, 2011	<u><u>\$ 800</u></u>

The Accounting Equation



Balance Sheet

- **Balance sheet** (also called the *statement of financial position*) shows the financial position of a business on a certain date, usually the end of the month or year
 - The assets equal the sum of the liabilities and stockholders' equities, under the **accounting equation**
 - **Assets** are the economic resources of a company that are expected to benefit the company's future operations.
 - **Liabilities** are a business's present obligations to pay cash, transfer assets, or provide services to other entities in the future.

Balance Sheet

- **Stockholders' equity** (also called *shareholders' equity*) represents the claims of the owners of a corporation (the stockholders) to the assets of the business.
 - **Net assets** are what would be left over if all liabilities were paid
 - **Contributed capital** is the amount that stockholders invest in the business.
 - **Par value** is an amount per share that when multiplied by the number of common shares becomes the corporation's common stock amount; it is the minimum amount that can be reported as contributed capital.
 - When the value received is greater than par value, the amount over par value is called **additional paid-in capital**.

Statement of Cash Flows

- **Statement of cash flows** focuses on company's liquidity.
- **Cash flows** are the inflows and outflows of cash into and out of a business. The statement is organized according to the three major business activities:
 - Cash Flows from Operating Activities
 - Cash Flows from Investing Activities
 - Cash Flows from Financing Activities

Statement of Cash Flows for Inglot Consultancy, Inc.

Inglot Consultancy, Inc. Statement of Cash Flows For the Month Ended December 31, 2011		
Cash flows from operating activities		
Net income		\$ 3,200
Adjustments to reconcile net income to net cash flows from operating activities		
(Increase) in accounts receivable	\$ (4,000)	
(Increase) in supplies	(2,000)	
Increase in accounts payable	<u>6,400</u>	<u>400</u>
Net cash flows from operating activities		\$ 3,600
Cash flows from investing activities		
Purchase of land	\$ (40,000)	
Purchase of building	<u>(100,000)</u>	
Net cash flows from investing activities		(140,000)
Cash flows from financing activities		
Issued common stock	\$200,000	
Paid dividends	<u>(2,400)</u>	
Net cash flows from financing activities		<u>197,600</u>
Net increase (decrease) in cash		\$ 61,200
Cash at beginning of month		<u>0</u>
Cash at end of month		<u><u>\$ 61,200</u></u>

Note: Parentheses indicate a negative amount.

Income Statement, Statement of Retained Earnings, Balance Sheet, and Statement of Cash Flows

Inglot Consultancy, Inc. Statement of Cash Flows For the Month Ended December 31, 2011		
Cash flows from operating activities		
Net income	\$	3,200
Adjustments to reconcile net income to net cash flows from operating activities		
(Increase) in accounts receivable	(\$	4,000)
(Increase) in supplies	(2,000)	
Increase in accounts payable	6,400	400
Net cash flows from operating activities	\$	3,600
Cash flows from investing activities		
Purchase of land	(\$	40,000)
Purchase of building	(100,000)	
Net cash flows from investing activities		(140,000)
Cash flows from financing activities		
Issued common stock	\$200,000	
Paid dividends	(2,400)	
Net cash flows from financing activities		197,600
Net increase (decrease) in cash	\$	61,200
Cash at beginning of month		0
Cash at end of month	\$	61,200

STUDY NOTE: See the sequence in which these financial statements must be prepared. The statement of retained earnings is a link between the income statement and the balance sheet, and the statement of cash flows is prepared last.

Inglot Consultancy, Inc. Income Statement For the Month Ended December 31, 2011		
Revenues		
Consulting fees		\$10,000
Expenses		
Equipment rental expense	\$2,800	
Wages expense	1,600	
Utilities expense	1,200	
Total expenses		5,600
Income before income taxes		\$ 4,400
Income taxes expense		1,200
Net income		\$ 3,200

Inglot Consultancy, Inc. Statement of Retained Earnings For the Month Ended December 31, 2011		
Retained earnings, December 1, 2011	\$	0
Net income for the month		3,200
Subtotal		\$3,200
Less dividends		2,400
Retained earnings, December 31, 2011	\$	800

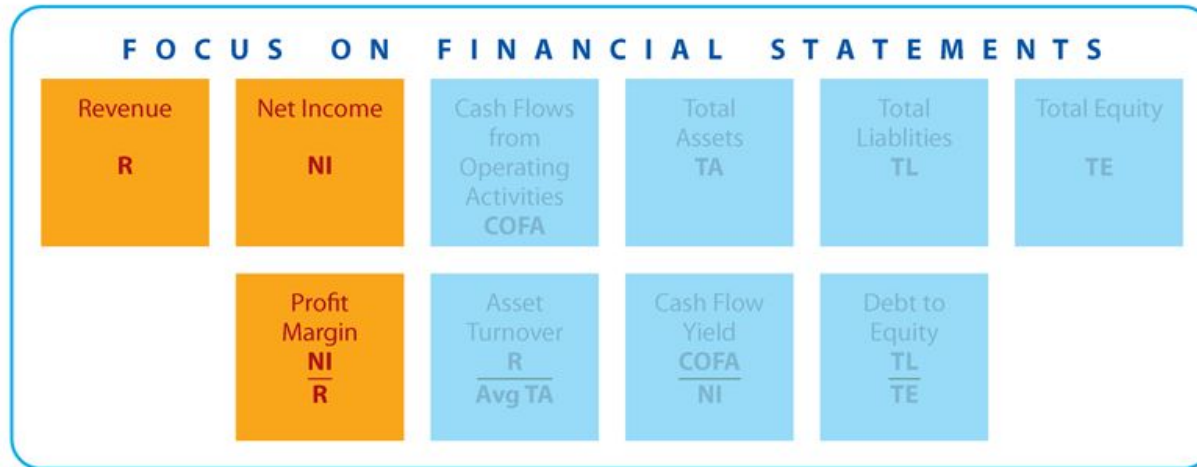
Inglot Consultancy, Inc. Balance Sheet December 31, 2011			
Assets		Liabilities	
Cash	\$ 61,200	Accounts payable	\$ 6,400
Accounts receivable	4,000		
Supplies	2,000	Stockholders' Equity	
Land	40,000	Common stock	\$200,000
Building	100,000	Retained earnings	800
		Total stockholders' equity	\$200,800
		Total liabilities and stockholders' equity	\$207,200
Total assets	\$207,200		

STUDY NOTE: Notice the sequence in which these financial statements must be prepared. The statement of retained earnings is a link between the income statement and the balance sheet, and the statement of cash flows is prepared last.

Financial Ratios

- **Financial ratios** show important relationships among the elements of the financial statements.
 - The following financial ratios have been shown to be most predictive of company performance:
 - Profit margin
 - Asset turnover
 - Cash flow yield
 - Debt to equity ratio

Focus on Financial Statement Elements



The six elements (top row) on the financial statements are used to compute the four ratios (bottom row) that allow you to analyze financial statements and determine how well or poorly a company is performing, which, in turn, is the basis for making good business decisions.

Thus, profit margin is calculated by dividing net income (NI) by revenues (R).

Financial Ratio: Profit Margin

By using the net income and revenues that appear on Inglot Consultancy's income statement, we can calculate Inglot's profit margin as follows:

$$\text{Profit Margin} = \frac{\text{Net Income}}{\text{Revenues}}$$

$$\begin{aligned}\text{Profit Margin} &= \frac{\$3,200}{\$10,000} \\ &= 0.320, \text{ or } 32.0\%\end{aligned}$$



Focus on International Practices



The Arrival of International Financial Reporting Standards in the United States

Over the next few years, international financial reporting standards (IFRS) will become much more important in the United States and globally. The International Accounting Standards Board (IASB) has been working with the Financial Accounting Standards Board (FASB) and similar boards in other nations to achieve identical or nearly identical standards worldwide. IFRS are now required in many parts of the world, including Europe, Canada, and most of Asia. The Securities and

Exchange Commission (SEC) recently voted to allow foreign registrants in the United States to use IFRS. This is a major development because in the past, the SEC required foreign registrants to explain how the standards used in their statements differed from U.S. standards. This change affects approximately 10 percent of all public U.S. companies. In addition, the SEC may in the near future allow U.S. public companies to use IFRS.⁹

iStock Photo



Stop & Apply

Complete the financial statements that appear below by determining the amounts that correspond to the letters. (Assume no new investments by stockholders.)

Income Statement

Revenues	\$2,775
Expenses	(a)
Net income	<u>\$ (b)</u>

Statement of Retained Earnings

Beginning balance	\$7,250
Net income	(c)
Less dividends	500
Ending balance	<u>\$7,500</u>

Balance Sheet

Total assets	\$ (d)	
Liabilities	\$4,000	
Stockholders' equity		
Common stock	5,000	
Retained earnings	(e)	
Total liabilities and stockholders' equity		<u>\$ (f)</u>

SOLUTION

Net income links the income statement and the statement of retained earnings. The ending balance of retained earnings links the statement of retained earnings and the balance sheet.

Thus, start with (c), which must equal \$750 ($\$7,250 + \$750 - \$500 + \$7,500$). Then, (b) equals (c), or \$750. Thus, (a) must equal \$2,025 ($\$2,775 - \$2,025 + \750). Because (e) equals \$7,500 (ending balance from the statement of retained earnings), (f) must equal \$16,500 ($\$4,000 + \$5,000 + \$7,500 + \$16,500$). Now, (d) equals (f), or \$16,500.

Generally Accepting Accounting Principles

- **GAAP** are the conventions, rules, and procedures that define acceptable accounting practice at a particular time.
 - GAAP and the Independent CPA's Report
 - **Certified public accountant (CPA)** performs independent audits of businesses' financial statements.
 - An **audit** is an examination of the financial statements and the accounting systems, controls, and records to ascertain that financial statements are in accordance with GAAP.

Large International Certified Public Accounting Firms

Firm	Home Office	Some Major Clients
Deloitte & Touche	New York	General Motors, Procter & Gamble
Ernst & Young	New York	Coca-Cola, McDonald's
KPMG	New York	General Electric, Xerox
PricewaterhouseCoopers	New York	ExxonMobil, IBM, Ford

Organizations That Issue Accounting Standards

- The **Financial Accounting Standards Board (FASB)** is responsible for developing GAAP.
- The **International Accounting Standards Board (IASB)** sets international accounting standards.
 - Issues **international financial reporting standards (IFRS)**
 - IFRS is becoming increasingly important because of the acceptance of its standards in many financial markets throughout the world.

Other Organizations That Influence GAAP

- The **Public Company Accounting Oversight Board (PCAOB)** is a governmental body created by the Sarbanes-Oxley Act to regulate the accounting profession.
- The **American Institute of Certified Public Accountants (AICPA)** influences GAAP through advisory committees.
- The **Securities and Exchange Commission (SEC)** sets its own

Professional Conduct

(slide 1 of 2)

- Management accountants have a code of professional ethics
 - Integrity
 - Objectivity
 - Independence
 - Due care

Professional Conduct

(slide 2 of 2)

● Institute of Management Accountants (IMA)

- the primary professional association of management accountants,
- Code of professional conduct emphasizes that management accountants
 - have a responsibility to be competent in their jobs,
 - must keep information confidential except when authorized or legally required to disclose it,
 - must maintain integrity and avoid conflicts of interest,
 - and communicate information objectively and without bias.



Stop & Apply

Match the following acronyms with the descriptions that follow:

- | | |
|----------------|---|
| _____ 1. GAAP | a. Sets U.S. accounting standards |
| _____ 2. IFRS | b. Audits financial statements |
| _____ 3. CPA | c. Established by the Sarbanes-Oxley Act |
| _____ 4. FASB | d. Sets international accounting standards |
| _____ 5. IASB | e. Established by the FASB |
| _____ 6. PCAOB | f. Established by the IASB |
| _____ 7. AICPA | g. Influences accounting standards through
member CPAs |
| _____ 8. SEC | h. Receives audited financial statements of
public companies |

SOLUTION

1. e; 2. f; 3. b; 4. a; 5. d; 6. c; 7. g; 8. h.